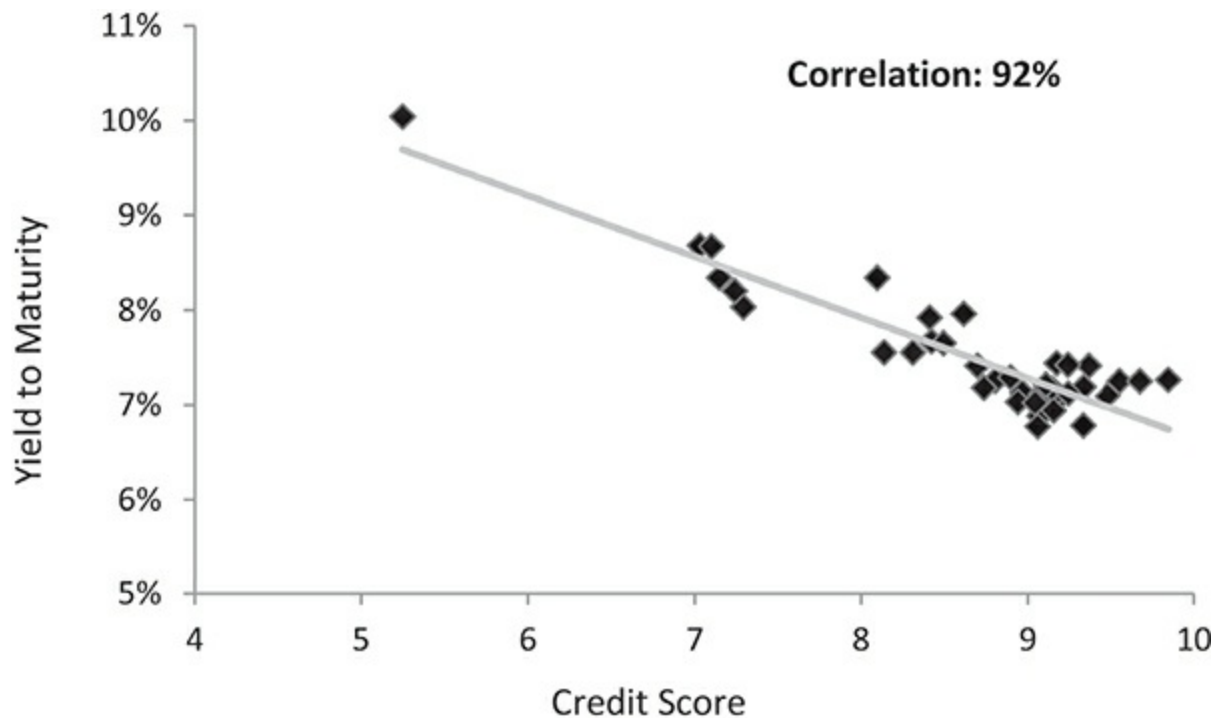


Exhibit 74: High inverse correlation between credit score and yield to maturity of debt funds



Source: MFI Explorer, Ambit Capital Research. Data as on 31 July 2017 for the short-term debt fund universe in India of forty-five funds.

The inverse correlation of 92 per cent shows the strength of the connection between credit score and YTM, implying that the higher returns given by higher performing debt funds are largely a function of the extra credit risk that the debt fund manager is taking. In other words, the single factor that drives higher YTM appears to be higher credit risk.

Thanks to this knowledge, Mr Talwar has understood why he should choose debt mutual funds on the basis of the quality of the portfolio rather than the historic returns given by these funds.

Mr Talwar's final portfolio

With all the bits of the portfolio now in place, Nikhil laid out the final investment plan for Mr Talwar (see the exhibit below). While it was a long-